Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of the

Information Technology Panel

Case 19-G-0309
Case 19-G-0310

September 18, 2019

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Rebuttal Testimony of the Information Technology Panel

I. Introduction

Q. Please introduce the members of the Information Technology ("IT") Panel.

A. The Panel consists of Stephen Olive, Daniel J. DeMauro, Mukund Ravipaty, and Jeffrey Martin.

Q. Is this the same Panel that previously submitted direct and corrections and updates testimony in these proceedings?

A. Yes. Capitalized terms defined in the Panel's direct and corrections and updates testimony have the same meanings here.

Q. What is the purpose of the Panel's testimony?

A. The purpose of the Panel's rebuttal testimony is to respond to certain recommendations presented in the testimonies of the following Department of Public Service Staff ("Staff") witness panels: Staff Policy Panel ("SPP"); Staff Consumer Services Panel ("SCSP"); and Staff Information Technology Panel ("SITP").

Q. Does the Panel sponsor any exhibits as part of its rebuttal testimony?

A. Yes. The Panel sponsors the following exhibits, all of which were prepared by or under the supervision and direction of one or more members of the Panel:

- Exhibit ___ (ITP-1R) – Linear Regression Analysis, FY2015-2019.
- Exhibit ___ (ITP-2R) – Service Company Rents Adjustments Reconciliation.

Q. Please summarize the Companies' response to Staff's testimony.

A. The Companies filed rates for the Rate Year commencing April 1, 2020, and submitted additional information to enable the Public Service Commission (the "Commission") to set rates for the subsequent three years (*i.e.*, April 1, 2021 through March 31, 2024, which are collectively referred to hereinafter as the "Data Years" and individually as a "Data Year"). Staff conducted a review of the Companies' IT plans; however, the SITP limited its testimony and recommendations for the Rate Year only. As we explain below, in some instances, the Companies agree with Staff's recommendations. In other areas, however, the Companies disagree with Staff's proposed adjustments. Where the Companies accept an adjustment or agree with an issue raised by Staff, such acceptance or agreement is affirmatively noted. Where the Companies

disagree with Staff's position, or where more information is needed to clarify the record, we indicate that in our rebuttal testimony.

II. Staff's IT Recommendations

Q. What recommendations does Staff make regarding the Companies' IT plans?

A. Staff's recommended adjustments and changes to the Companies' IT plans are summarized at pages 4-5 of the SITP's testimony, which proposes the following:

(i) an adjustment to remove certain projects from the IT capital forecast;

(ii) an adjustment to remove $57.4 million from the GBE Program budget;

(iii) a "forecasting" adjustment to the Companies' IT capital budget forecast;

(iv) an adjustment to the Companies' return on IT capital investments;

(v) a downward-only Service Company Rent IT and GBE Program Net Utility Plant and Depreciation Expense Reconciliation Mechanism; and

(vi) rejection of the Companies' proposal to defer the difference between the projected and actual costs of its SAP S/4 HANA project.

In addition to the foregoing adjustments and recommendations, Staff also proposes a number of changes relating to the process for sanctioning IT projects and performance metrics related thereto, as well as a recommendation for enhanced reporting of and visibility on the Companies' IT efforts.

III. Removal of Projects from IT Capital Forecast

Q. Please describe the SITP's proposal to remove certain projects from the Companies' IT capital forecast.

A. The SITP proposes to remove capital expenditures and operating costs from the Rate Year associated with the Community Distributed Generation ("CDG") Low Income Discount program and the Customer Information System ("CIS") project.

The Companies agree that the costs of the CDG Low Income Discount program should be removed. That program is an electric-only program and was included in the Companies' costs inadvertently. The Companies acknowledged this error in their response to Information Request ("IR") DPS-882 (Exhibit __ (SITP-1, p. 1427)). Although the Companies agree that the costs of the CDG Low Income Discount program should be removed, however, the amount of the adjustment the SITP made for this item is

incorrect. The correct amount of the adjustment is discussed later in the Panel's testimony.

Q. What is the Companies' position regarding the SITP's adjustment to remove CIS costs from the Rate Year?

A. The Companies strongly disagree with the SITP's proposed adjustment. The SITP proposes removing $15.411 million of operating expense associated with the CIS project in the Rate Year. The SITP further proposes to reduce the Service Company's Rate Year capital forecast by $70.2 million to reflect the elimination of CIS-related capital expenditures.

As described by the Companies' Shared Services Panel in its direct testimony, National Grid is planning to implement a new CIS to replace legacy systems that are currently 30 years old for KEDNY and over 20 years old for KEDLI. A new CIS will create business agility to enable the Companies to bring new customer services and billing system options to market quickly and deliver on National Grid's goals of an effortless customer experience with increased choice and flexibility. To the extent that the Companies do not obtain funding for CIS, those benefits will be delayed and the Companies will be exposed to increased risks from having to operate and maintain outdated legacy systems.

While the Companies acknowledge that there is a degree of uncertainty surrounding the final costs of the CIS project and that the Companies continue to look for ways to finalize the project as efficiently as possible, there is no doubt that the Companies need to incur at least the $15.4 million of operating expenses and $70.2 million of capital expenditures forecast for the Rate Year to proceed with the project. Moreover, there is no doubt that, regardless of whether there may be adjustments to the final CIS solution, National Grid will need to expend far more than the CIS-related capital and O&M expenditures that are forecast for the Rate Year to complete the project. Under these circumstances, it is reasonable for the Commission to authorize the CIS-related expenditures that would enable the Companies to proceed with the first phase of the CIS project.

The failure to sufficiently fund the CIS project will only result in further delay in the implementation of a modern solution needed to address the needs of utility customers today.

Q. What is the Companies' position regarding the proposal by the SCSP that the Companies continue to advance the CIS project and file a separate petition at a later date for approval?

A. The Companies disagree with the SCSP's proposal. The Commission will be establishing rates for the Companies for the period beginning April 1, 2020. The Companies are projecting that they will incur substantial costs during the Rate Year and beyond to implement the CIS project. The Companies acknowledge that they continue to refine cost estimates and schedules, but the best information available today supports the conclusion that there will be material expenditures during the Rate Year to progress this project for the benefit of customers. The SCSP's proposal of a separate petition outside of the ongoing rate case process would introduce an element of uncertainty into the Companies' financial planning that is both unreasonable and unnecessary. Given that the best information available at this time indicates the Companies will be making significant expenditures during the Rate Year on the CIS project, and that the Companies filed the necessary cost and schedule information to support recovery of CIS project costs as part of this rate case, the SCSP's proposal that the CIS project costs be handled outside the context of this rate case should be rejected.

IV. $57.4 Million Adjustment to GBE Program Budget

Q. Please address the SITP's proposal to remove $57.4 million from the Companies' GBE Program forecast budget.

A. The SITP proposes an adjustment to reduce the investment forecast for the GBE Program by $57.4 million. As discussed in the Rebuttal Testimony of the Companies' Witness Connolly, the Companies disagree with this proposed adjustment.

V. "Forecasting" Adjustment

Q. Please address the SITP's proposed "forecasting" adjustment.

A. The SITP proposes a "forecasting" adjustment that, combined with Staff's other recommended adjustments to the Companies' IT plans, would reduce the Rate Year IT capital expenditure amount to $129.4 million from the $243.8 million Rate Year forecast proposed by the Companies. The SITP's testimony describes using a linear regression analysis of the Companies' actual IT capital spending in FY 2015, FY 2016, FY 2018, and FY 2019 to arrive at its recommended $129.4 million budget level. The SITP omits the actual results of FY 2017 from its analysis based on its finding that the level of IT capital spending in that year was an "outlier."

The SITP then calculates an additional adjustment factor by: (i) reducing the Rate Year IT capital forecast by $70.2 million related to the CIS capital adjustment discussed above; and (ii) comparing the post-CIS adjusted forecast ($173.6 million) to the $129.4 million result of their linear regression analysis. The result is a 25.5 percent adjustment factor presented by Staff (1 – 129.4/173.6 = 25.5%).

Q. How would the SITP's recommendation affect the Companies' ability to carry out its IT capital plan in the Rate Year?

A. Basically, the SITP's proposed capital spending level would provide funding only for the Companies' baseline technology, Technology Modernization, and Cyber and Physical Security projects, but would provide no capital for the proposed CIS or SAP S/4 HANA projects. The Rate Year capital expenditures forecast for those programs, $70.2 million for CIS and $48.6 million for SAP S/4 HANA, are effectively eliminated from the Companies' IT capital plan by the SITP's adjustments. These major projects are vital to the effective future operations of the Companies and failure to provide any capital funding for them is unreasonable.

Q. Do the Companies agree with the $129.4 million adjusted IT capital level and the forecasting adjustment proposed by the SITP?

A. No. The Companies disagree with the SITP's recommended IT capital level of $129.4 million and the proposed forecasting adjustment for several reasons.

First, the need for incremental IT investment in the utility industry continues to accelerate. The Companies' proposed IT capital investments for 2020 and beyond were not based on their IT budgets in 2015 or 2016. Rather, the budgets were based largely on a bottom-up determination of individual projects that the Companies plan to invest in before the end of the Rate Year, including the CIS and SAP S/4 HANA projects. That analysis is presented on a project-by-project basis on Exhibit __ (ITP-4CU). Establishing IT budgets based primarily on a backward-looking analysis would leave the business insufficiently funded to meet the future needs of customers.

In reviewing the Companies' IT capital budget, the SITP appears to have become overly focused on the Companies' overall annual capital spending as compared to budgets in past years and lost sight of the need for all of the IT projects on which the Companies are proposing to expend capital in the Rate Year. As we explained in our direct testimony, the need for the capital projects listed on Exhibit __ (ITP-4CU) is driven by the fact that many of the critical systems employed by the Companies are nearing the end of their useful lives and must be replaced and upgraded in the near future to meet the

demands of the business. Moreover, many other new systems are required by the business to address operational, financial, regulatory, and other needs. The Companies will not be able to meet the demands of the business or their customers and regulators if their IT capital plan is significantly curtailed. The SITP's forecast adjustment would impose an arbitrary 25.5 percent curtailment on the Companies' non-CIS IT capital programs without any consideration of the impact on individual IT projects or the ability to meet current and future demands for information technology services.

Q. Is there evidence in this case that demonstrates that the need for incremental IT investment will continue in the future?

A. Yes. In testimony in this case, the New York City Policy Panel (at 33-34) recommends further modifications to the Companies' systems to include the ability to collect data on energy efficiency and demand response programs, incentives provided to customers, and data associated with renewable gas projects. Leaving aside the merits of these recommendations, they are nonetheless illustrative of the ongoing and frequently changing demands that are made upon the Companies' IT systems. Such changing demands will continue to require the Companies to invest in their IT systems.

Q. Is National Grid the only utility that has seen a need for increased investment in IT systems in recent years?

A. No. Consolidated Edison Company of New York, Inc.'s ("ConEd") most recent rate filing with the Commission reflected $989 million in requested capital and O&M expenditures for IT projects over a three-year period. Like National Grid, ConEd is proposing a significant level of incremental IT capital spending to meet accelerating business demands. ConEd's proposed IT spending level provides a relevant point of comparison that demonstrates that National Grid's proposal to spend $243 million on IT projects in the Rate Year is reasonably driven by the demands placed upon utilities in today's marketplace.

Q. Does the Panel have any specific concerns with the particular regression analysis performed by the SITP to forecast IT capital expenditures in the Rate Year?

A. Yes. The linear regression analysis used by the SITP provides no useful information concerning what the appropriate level of IT investment should be in the Rate Year. Linear regression is used to determine whether a linear relationship exists in a data set such that the relationship can be used to predict future results. The data set is comprised of points that measure the relationship between at least two variables: an independent variable, which is

expected to be the causative variable, and a dependent variable, which is supposed to be the effect. There is no basis for concluding that a linear relationship exists or should exist between fiscal years and IT capital investment levels. Indeed, the Companies' proposed IT capital investment levels fluctuate up and down year over year depending on the nature of projected capital investments planned for a given year. Therefore, a linear regression analysis is simply not an appropriate tool to use to forecast future investment levels or to develop appropriate levels of IT investment for ratemaking purposes.

Further, for a regression analysis of past performance to be used to predict future results, there should be an expectation that future conditions will be similar to the past conditions used for the analysis. Here, however, the regression analysis covers a period that does not include spending such as proposed for the CIS or SAP S/4 HANA projects, and therefore is not representative of the Company's future investment expectations.

Q. Does the Panel have any concerns with the data used by the SITP in obtaining its regression result?

A. The weaknesses of the SITP's regression analysis are demonstrated by a review of the data itself. While the SITP proposed to analyze the levels of IT

spending in the period 2015 - 2019, the SITP simply ignored the data for one of the five fiscal years, FY 2017, arbitrarily dismissing it as an "outlier." At the same time, however, as the SITP acknowledges (at 32-33), a significant portion of the 2017 IT capital spend characterized as an "outlier" was the result of advancing planned investments on projects in the Companies' Technology Improvement Project from "2018 and beyond." In other words, a significant portion of the FY 2017 actual spend had the effect of suppressing actual spending in FY 2018 and beyond; a result that Staff's regression equation makes no adjustment for in 2018 and 2019.

Q. What result would the SITP's regression analysis have produced if FY 2017 data had been included?

A. The results are shown on Exhibit __ (ITP-1R). Most significantly, the R-squared value of the equation would have dropped from 0.932 in the SITP's results to 0.526; a result the SITP itself would have rejected. Given this result, it is clear that Staff's regression analysis provides no meaningful information concerning what the Companies' actual IT budget should be in the Rate Year or what the actual level of such spending is likely to be.

Q. Do the Companies disagree with Staff's observations that the Companies have underspent their projected IT capital budgets?

A. No. The Companies acknowledge that, over the past five fiscal years, actual total IT capital spend has not met budget. In addition, the Companies do not disagree with the SITP that in FY 2015 - FY 2019, the Companies underspent their annual budget by an average of approximately $8.8 million, or eight percent. However, an eight percent average of budget underspending over the past five fiscal years does not support the SITP's proposed downward IT capital investment adjustment of nearly 47 percent or even the 25.5 percent reduction derived from the SITP's forecasting adjustment.

Q. Have the Companies taken steps to ensure that they will be able to complete the projects as budgeted for the Rate Year?

A. Yes. The SITP unreasonably ignores the efforts that National Grid has undertaken to ensure the timely and cost-effective delivery of the forecast Rate Year capital program. Specifically, as described at pages 50-51 of the Panel's direct testimony, the Companies have insourced numerous key technology roles to enhance project delivery, capability, and modernize the solution delivery process. Moreover, the Companies have increased the number of IT solution vendors from two to four, thereby increasing National Grid's ability to scale up and respond to increases in business demands. The Companies have taken reasonable steps to address past resource deficiencies

that may have prevented them from completing IT capital projects in a timely manner.

Q. Do the Companies agree with the SITP's calculation to adjust the Service Company rent expense to reflect the SITP's recommendations described above?

A. No. Even assuming the SITP described adjustment were adopted, there are several errors in SITP's calculations of how those adjustments would be reflected as shown in Exhibit __(ITP-2R). These errors include: a double count of adjustment amounts, the application of a rate of return ("ROR") for certain adjustments that does not agree with the SITP's proposed ROR, clerical errors, and most notably, the misapplication of the proposed 25.5 percent forecasting adjustment as a direct 25.5 percent reduction to Service Company rent expense.

Q. Do the identified errors have a significant impact on the SITP's proposed adjustment?

A. Yes, even accepting for the sake of argument all of the SITP's recommended reductions, the SITP's total proposed Service Company rent expense reductions of $10.32 million for KEDNY and $7.35 million for KEDLI would be accurately calculated as reductions of only approximately $3.73 million

and $2.91 million for KEDNY and KEDLI, respectively. The SITP has over-adjusted Service Company rent expense by $6.6 million for KEDNY and $4.4 million for KEDLI.

Q. Please describe the errors in the SITP's proposed adjustment to remove $57.4 million from the Companies' GBE Program forecast budget.

A. The SITP's adjustment to remove $57.446 million of forecast GBE Program spending was calculated for both KEDNY and KEDLI using an ROR of 7.515 percent rather than the SITP's proposed ROR of 7.584 percent for KEDNY and 7.543 percent for KEDLI. In addition, there were clerical errors in the SITP's calculation of the rent adjustment specific to the GIS investment and the Maximo investment for KEDLI. These errors resulted in an excess adjustment of approximately $0.155 million for KEDNY and $0.086 million for KEDLI.

The SITP also prorated the $57.446 million adjustment among the individual GBE Program investments based on the capital balances at Fiscal Year 2020. It would have been more appropriate to prorate the removal of the forecast spending based on the proposed FY 2021 incremental spending in which these forecast amounts are included. Although this results in a skewed adjustment

to the individual investment balances, it has no net effect on the combined GBE Program calculated rent expense adjustment.

Q. Please describe the errors in the SITP's proposed adjustment to remove the CDG Low Income Discount program.

A. The full amount of the revenue requirement included in rent expense was $83,406 and $50,405 for KEDNY and KEDLI, respectively. The SITP's proposed adjustment did not remove the full revenue requirement associated with the program resulting in an under adjustment of $21,775 and $13,158 for KEDNY and KEDLI, respectively.

Q. Please describe the errors in the SITP's proposed 25.5 percent forecasting adjustment.

A. The SITP incorrectly applied the proposed forecasting adjustment of 25.5 percent directly to the Service Company rent expense rather than to the forecast Rate Year capital spending associated with the Service Company IT projects. This results in overstating the adjustment to reduce rent expense by approximately $4.446 million for KEDNY and $2.908 million for KEDLI. In response to IR NG-05, the SITP indicated that "Staff did not apply a 25.5% reduction to Service Company Rent expense. Rather, the SITP applied a 25.5% reduction only to the forecasted capital projects portion of service

Company Rent expense." However, this is incorrect. As demonstrated by the SITP's calculation found on page 5 of Exhibit__(SITP-2), Staff applied a 25.5 percent reduction directly to the Service Company rent expense remaining after adjustments to remove the forecast GBE Program contingency capital spending and the CDG Low Income Discount program were taken from the Companies' corrections and updates filed Service Company rent expense of $20.124 million and $13.318 million for KEDNY and KEDLI, respectively. It should also be noted that the SITP's calculation of the Net Service Company rent expense of $17.951 million for KEDNY and $11.731 million for KEDLI on page 5 of Exhibit__(SITP-2) contained a formula link error that resulted in KEDLI's CDG Low Income Discount program adjustment being applied to KEDNY's net Service Company rent expense calculation and vice versa for KEDLI's net Service Company rent expense calculation. The correction of these errors is appropriately reflected in the Companies' corrected calculation presented in Exhibit__(ITP-2R).

To illustrate the magnitude of the SITP's overstatement of the forecasting adjustment, the rent expense reductions proposed by the SITP of $4.572 million for KEDNY and $2.988 million for KEDLI could not be achieved with a complete elimination of the entire forecast rate year IT capital program spending, including all of the forecast Rate Year spending for the GBE

Program. All else equal, removing 100 percent of the forecast capital spending for the Rate Year from the Service Company rent model would only result in a reduction to the Companies' filed Service Company rent expense of $2.902 million for KEDNY and $2.005 million for KEDLI, amounts that are significantly less than the amounts presented by the SITP on Exhibit __ (SITP-2) to reflect the 25.5 percent forecasting adjustment.

Q. Please describe the errors noted in the SITP's proposed ROR adjustment.

A. The SITP's proposed ROR adjustments of $2.443 million for KEDNY and $1.902 million for KEDLI are significantly larger than what would be expected given that small changes in the ROR do not typically yield significant adjustments to Service Company rent expense. The re-calculated ROR adjustments should be $0.435 million for KEDNY and $0.441 million for KEDLI. It appears from the calculation of the SITP's ROR adjustment on page 6 of Exhibit__(SITP-2) that the large discrepancy results primarily from the SITP incorrectly including the adjustments for the removal of GBE Program capital expenditures and the CDG Low Income Discount program in the SITP Forecast Expense balance used to measure the ROR adjustment. This overstates the ROR adjustment and has the effect of double counting these adjustments in the SITP's total Service Company rent expense reductions. To illustrate the magnitude of the SITP's incorrect proposed ROR

adjustments, the service company rent model used to calculate the Companies' filed Service Company rent expense would require a ROR of approximately 3.36 percent for KEDNY and 4.37 percent for KEDLI to achieve the SITP's proposed ROR adjustments (shown in the SITP Forecast Expense balance on page 2 of Exhibit __ (SITP-2)). Such RORs are clearly far below what the SITP has recommended.

Q. The SITP recommends the adoption of a downward only Service Company Rents IT and GBE program Net Utility Plant and Depreciation Expense Reconciliation Mechanism. Do you agree with this recommendation?

A. No. Although a tracker may be appropriate for a multi-year rate plan, such as the plan adopted by the Commission for NMPC, the rationale for such a mechanism is less persuasive for a litigated one-year rate case. Accordingly, the Companies do not support a downward-only tracker for the IT program.

VI. Adjustment to the Companies' Return on IT Capital Investments

Q. Please address the SITP's proposed adjustment to the return applicable to IT capital investments.

A. The Companies disagree with the SITP's proposal to apply the Staff's proposed cost of capital and capital structure to the IT investments of the

Service Company. The matter is addressed in the Rebuttal Testimony of the Companies' Witness Jonathan Cohen.

VII. SAP S/4 HANA

Q. The SITP recommends (at 59-60) that (i) the Companies' rates should reflect the Companies' portion of Service Company's projected operating expenditures of $30.6 million for the SAP S/4 HANA project, (ii) the Companies should be required to manage the capital costs for the project within the context of the SITP's IT capital budget of $129.4 million, and (iii) the Companies' request for deferral of costs in excess of the amount of costs reflected in rates should be rejected. Do you agree?

A. The Companies appreciate the SITP's recognition of the importance of the SAP S/4 HANA project and willingness to include the operating costs of the project in rates. Moreover, the Panel already explained why it disagrees with the SITP's recommendation concerning the amount of the IT capital budget to be reflected in rates.

In addition, given the importance and size of the SAP S/4 HANA project, the Companies request that the Commission grant the Companies authority to defer costs in excess of the current cost projections. As the SITP recognizes, the Companies' cost projection for this project are very preliminary and

therefore there is a possibility that the actual costs of the project will materially differ from the current projection. As an alternative to a blanket deferral authorization, at a minimum, the Companies request the Commission to explicitly determine that the Companies would have the right to seek deferral of costs of the SAP S/4 HANA project in excess of the level reflected in rates by filing a separate petition. Specifically, the Companies request the Commission to confirm that such a deferral petition would not be rejected because there is an allowance for the costs of the SAP S/4 HANA project reflected in rates.

VIII. Proposed Sanction Process Changes and Performance Indicators

Q. Please address the SITP's recommendation that the Companies adopt certain IT-related process improvements.

A. The SITP proposes that (i) IT process improvements implemented for NMPC in Case 17-E-0233 *et al*. be applied to the Companies, and (ii) that Service Company should make improvements to its investment request summary ("IRS") and sanction papers. The Companies generally agree with these recommendations as set forth on pages 67-72 of the SITP testimony.

Q. What is the Companies' position regarding the SITP's recommendation to implement specific performance benchmarks related to sanction papers?

A. The Companies oppose the Staff's recommendation regarding developing performance indicators relating to sanction papers. The metrics Staff proposes would require substantial resources and time to develop and track. Further, although performance benchmarks may be appropriate as part of a negotiated resolution of a multi-year rate plan, there is less of a basis for them in a one-year litigated case. Therefore, unless this matter were to proceed to negotiation that resulted in a multi-year resolution, the Companies oppose establishing performance indicators relating to sanction papers.

Q. The SITP further recommends (at 42) that KEDNY and KEDLI's cyber security program be included in the quarterly IT project update meetings that are held with Staff, and that the Companies notify appropriate Staff as cybersecurity projects get sanctioned or partially sanctioned. Do you agree with their recommendations?

A. Yes.

Q. Please address the SITP's recommendation that the Companies implement enhanced reporting requirements and meet with Staff periodically regarding the IT program.

A. The Companies support periodic reporting on IT project status to Staff. The Companies believe greater transparency on IT project selection, prioritization, timeline, and budget status will promote increased collaboration between the Companies and Staff on the selection and delivery of IT projects and facilitate Staff's review of IT projects as part of rate proceedings for the benefit of New York customers. Indeed, NMPC, KEDNY, and KEDLI provide quarterly reporting and meet with Staff on a regular basis regarding their respective electric and gas capital investments; and similar to the reporting processes for electric and gas assets, NMPC has agreed to provide regular status reports on IT projects as part of the Joint Proposal adopted by the Commission in Case 17-E-0238 *et al*. These regular status reports include:

(1) an IT Capital Investment Plan for each rate year, including a narrative explaining the overall IT investment plan and identifying the proposed IT projects and their estimated costs;

(2) quarterly variance reports on the status and budgets of major projects, details and explanations of budget and timeline variances, reports on budget exceptions, and identification of allocations to NMPC; and

(3) a year-end report that includes, in addition to quarterly reporting, sanction papers for any projects exceeding $1 million that were authorized during the previous Rate Year, and reporting on performance on any IT projects selected for a cost incentive with Staff.

In addition to these regular status reports, NMPC has agreed to meet with Staff on a semi-annual basis to:

- discuss budget and actual spending to date, status of in-flight projects, proposed projects for the next six months;
- review quarterly filings;
- develop mutually agreeable sanction paper enhancements needed to justify IT investments and allow for adequate review; and
- discuss whether different or additional information would be useful to include in the quarterly reports.

The Companies would agree to include KEDNY and KEDLI in these requirements and processes.

Q. The SPP (at 23) recommends that the Companies' adopt the following process improvements:

(1) proposed budgets included in a rate filing should be supported by sanction papers;

(2) once the sanction papers are developed, National Grid's Chief Information Officer ("CIO") should attest to the costs and benefits of the programs that make up the approved budget;

(3) after the projects are closed, National Grid's CIO should attest to and report on the actual costs and benefits achieved through the IT investment plan, and

(4) these improvements should be incorporated into the IT reporting requirements.

Do you agree?

A. Not entirely. The Companies oppose the recommendations for attestation of costs and benefits by National Grid's CIO. From the Companies' perspective, it is not clear what the benefit of such attestations would be or what they might be used for. As we noted previously, the Companies are willing to provide their IT Capital Investment plans and reports on the performance of those plans. This information should be sufficient to permit Staff to make a determination concerning the reasonableness of the costs and benefits of the Companies' IT programs.

With respect to the SPP's proposal that future proposed rate case budgets be supported by projects only with completed sanction papers, the Companies disagree. The dynamic nature of an operating utility results in the maturity of

IT projects within investment plans varying with time. Although the Companies strive to ensure that the information supporting the proposed IT budget reflects the most current and developed information available at the time, it may not be possible or practical to establish going-forward budgets based solely on projects that have completed the National Grid sanction process. This is especially the case where the Companies are attempting to present multi-year spending plans and budgets. Although the Companies are open to collaborating with Staff on opportunities to improve the process for developing IT plan budgets, we do not accept this SPP recommendation.

IX. Conclusion

Q. Does this conclude the Panel's rebuttal testimony?

A. Yes, it does.

INDEX OF EXHIBITS

Exhibit __ (ITP-1R):	Linear Regression Analysis, FY2015-2019
Exhibit __ (ITP-2R):	Service Company Rents Adjustments Reconciliation

Exhibit ___ (ITP-1R)

Linear Regression Analysis, FY2015-2019

Staff Information Technology Panel Linear Regression: FY2015-FY2019, excluding FY2017

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.965232591
R Square	**0.931673954**
Adjusted R Square	0.897510932
Standard Error	5753171.222
Observations	4

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	1	9.02656E+14	9.02656E+14	27.27141447	0.034767409
Residual	2	6.6198E+13	3.3099E+13		
Total	3	9.68854E+14			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	(19,071,763,102)	3,669,554,406	(5)	0	(34,860,581,382)	(3,282,944,822)	(34,860,581,382)	(3,282,944,822)
X Variable 1	9,500,821	1,819,312	5	0	1,672,951	17,328,691	1,672,951	17,328,691

129,395,937

Staff Information Technology Panel Linear Regression: FY2015-FY2019, including FY2017

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.725278051
R Square	**0.526028251**
Adjusted R Square	0.368037669
Standard Error	16465396.65
Observations	5

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	1	9.02656E+14	9.02656E+14	3.329491175	0.165544105
Residual	3	8.13328E+14	2.71109E+14		
Total	4	1.71598E+15			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	(19,065,651,106)	10,502,149,644	(2)	0	(52,488,178,437)	14,356,876,224	(52,488,178,437)	14,356,876,224
X Variable 1	9,500,821	5,206,816	2	0	(7,069,590)	26,071,232	(7,069,590)	26,071,232

135,507,933

Exhibit ___ (ITP-2R)

Service Company Rents Adjustments Reconciliation

The Brooklyn Union Gas Company d/b/a/ National Grid NY
PSC Case No. 19-G-0309
Company Rebuttal
Service Company Rents Adjustments Reconciliation

KEDNY

	Adjustment per Staff	**Adjustment per Company**	**Difference**
SC Rent Expense - Forecasted Projects per C&U	20,124,244	20,124,244	
Adjust to remove GBE Contingency CapEx	(2,136,184)	(1,980,859)	155,325
Adjust to remove specific projects	(61,631)	(83,406)	(21,775)
25.5% Forecast Adjustment	(4,571,565)	(125,937)	4,445,628
Adjust for ROR	(2,449,000)	(435,275)	2,013,725
Adjusted SC Rent Expense - Forecasted Projects	**10,905,864**	**17,498,768**	**6,592,903**
SC Rent Expense - Existing Projects per C&U	14,368,639	14,368,639	
Adjust for ROR	(262,023)	(262,023)	0
Adjusted SC Rent Expense - Existing Projects	**14,106,616**	**14,106,616**	**0**
SC Rent Expense - Facilities per C&U	9,253,433	9,253,433	
Adjust for ROR	(840,938)	(840,938)	0
Adjusted SC Rent Expense - Facilities	**8,412,495**	**8,412,495**	**0**
Total SC Rent Adjustment	(10,321,341)	(3,728,438)	6,592,903

Keyspan Gas East Corporation d/b/a/ National Grid
PSC Case No. 19-G-0310
Company Rebuttal
Service Company Rents Adjustments Reconciliation

KEDLI

	Adjustment per Staff	**Adjustment per Company**	**Difference**
SC Rent Expense - Forecasted Projects per C&U	13,317,700	13,317,700	
Adjust to remove GBE Contingency CapEx	(1,525,517)	(1,439,191)	86,326
Adjust to remove specific projects	(37,247)	(50,405)	(13,158)
25.5% Forecast Adjustment	(2,987,557)	(79,191)	2,908,366
Adjust for ROR	(1,902,000)	(441,463)	1,460,537
Adjusted SC Rent Expense - Forecasted Projects	**6,865,379**	**11,307,450**	**4,442,071**
SC Rent Expense - Existing Projects per C&U	8,618,524	8,618,524	
Adjust for ROR	(164,569)	(164,569)	0
Adjusted SC Rent Expense - Existing Projects	**8,453,955**	**8,453,955**	**0**
SC Rent Expense - Facilities per C&U	10,298,701	10,298,701	
Adjust for ROR	(738,029)	(738,029)	0
Adjusted SC Rent Expense - Facilities	**9,560,672**	**9,560,672**	**0**
Total SC Rent Adjustment	(7,354,919)	(2,912,848)	4,442,071